GMS WEEKLY

Your Source for Recycling News

April 8th, 2022
Volume 237, Issue 1026
Week 14

Highlights:

- **Impressive week.**
- **High sales.**
- **Bangla out.**
- **Pak upheaval.**
- **India firm.**
- **Turkey quiet.**

QUOTE of the WEEK

"Either you run the day or the day runs you."

– *Jim Rohn*

MARKET COMMENTARY

PICKING UP!

It has been another impressive week in both the Indian and Pakistani markets, with reportedly several sales taking place above the USD 700/LDT mark. These levels seem increasingly indicative of a market that is firm and these repeat record levels should hold for the time-being (especially after the recent volatility). Capacity also remains ripe across the sub-continent markets and demand is certainly firm in both India and Pakistan, as levels push on off the back of steel plate prices that remain positioned impressively high (even after this week).

The Bangladeshi market is the only sub-continent destination that remains mute, despite steel prices there having flatlined (at impressive high's) through much of this week. Yet, Chattogram Recyclers are refusing to buy at these high levels, even though evidence suggest these numbers are here to stay for at least the next month (or so)!

Much of the high-priced inventory concluded during the first quarter has ended up going to Bangladeshi shores, including a healthy collection of the large LDT VLCCs, VLOCs, Capes and Aframax tankers. As such, many Bangladeshi Buyers have already filled their plots with tonnage and are likely enjoying something of a Ramadan breather (especially with domestic activity having tempered of late).

Meanwhile, Pakistan has been beset by some major political upheaval of late, with Prime Minister Imran Khan being ousted from office (after a vote of no confidence) and his replacement is yet to be fully decided. Moreover, even the Pakistani Rupee has faced some volatility this week, raising eyebrows and caution. It is therefore unsurprising that the focus of Gadani recyclers has been elsewhere, despite two high-priced headline sales this week (that are seemingly set for a Pakistan redelivery).

In the absence of a hot Bangladeshi market, India has been securing much of the market tonnage over the last few weeks - not only HKC and specialist tonnage, but also some larger LDT tanker and offshore vessels finding their way to Alang.

Finally, the Turkish market, whilst still stable at historical highs, remains drudged with not much to report in terms of sale and purchase activity.

For week 14 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	India	Improving	670 / LDT	680 / LDT	690 / LDT
2	Pakistan	Improving	660 / LDT	670 / LDT	680 / LDT
3	Bangladesh	Weakening	650 / LDT	660 / LDT	670 / LDT
4	Turkey	Steady	450 / LDT	460 / LDT	470 / LDT

BANGLADESH

BREATHER!

Ramadan softer.

As the traditionally softer month of Ramadan descends across Bangladesh, there have been very few market moves to speak of, into a decidedly softer Chattogram.

Local steel mills are refusing to buy ship's steel at these incredibly higher levels, even though steel plate prices do seem to be holding up at some impressive prices. As such, it increasingly seems as though this latest slump in the Bangladeshi ship recycling sector is being largely sentiment driven.

Demand low.

Many local Recyclers have already filled their plots with much of the large LDT tonnage that was concluded earlier in the year. It therefore may be a few more weeks before price and demand pick up again after Ramadan holidays and once more of the tonnage is consumed locally.

NO MARKET SALES REPORTED

INDIA

STAYING STRONG!

Steel plate prices have somewhat cooled in India this week, with levels having dropped over USD 15/Ton. Hence, the two market sales of the week appear to be heading towards Pakistani shores - and at extremely strong levels to boot.

Missing out.

Prices from India remain firm and perhaps the best placed in the sub-continent, despite strong competition from an emerging Gadani this week. Overall, however, it has been a quieter week in terms of sales to Alang Recyclers.

On the local fundamentals front, the currency continues to trade in the high Rs. 75s against the U.S. Dollar, and demand for any units (even non-HKC / large LDT vessels) remains good, as India continues to lead the market rankings for another week.

Fundamentals firm.

NO MARKET SALES REPORTED

PAKISTAN

EVENTFUL WEEK!

PM deposed.

It has been an eventful week in Pakistan wherein, after a vote of 'no-confidence', Imran Khan has been ousted as the Prime Minister, subsequently leaving the country in a state of turmoil and without any immediate successor to step-in and stabilise the seemingly volatile situation.

Despite all this uncertainty surrounding the leadership of the country, bullish Cash Buyers have acquired two vessels with an expected Pakistan re-delivery, at levels above well above USD 700/LDT.

Two sales.

Firstly, the Capesize bulker SUNBEAM (21,018 LDT) was committed at an impressively firm USD 715/LT LDT, whilst the Aframax tanker ION (16,640 LDT) was sold for an equally impressive USD 708/LT LDT.

It would certainly seem as though these Cash Buyers are banking on a Pakistan rally in the wake of Imran Khan's deposition, as these prices certainly do not represent the reality on the ground just yet.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
ION	Tanker	16,640	USD 708/LT LDT
SUNBEAM	Bulker	21,018	USD 715/LT LDT

TURKEY

TURKISH HAZE.

Despite record offers on units, weeks of inactivity from Turkey have left many wondering just what is going on with this market. Logically, the gongs of USD 700/LT being breached this week will certainly have a collection of Owners being distracted away from the offerings from Aliaga.

Steel fundamentals steady.

All whilst the Lira continues to trade in the high TRY 14.7X against the U.S. Dollar and steel plate prices report no noteworthy changes in both import and local levels, all while still trading at record levels.

Designated spot?

Even though there is news of a single cruise liner arriving the local waterfront this week, the ongoing dearth of tonnage can only be equated to most units departing EU waters these days belonging to Owners who are continuing to capitalize on the currently high charter rates.

As such, the level of tonnage remaining available for Aliaga Recyclers remains slim.

NO MARKET SALES REPORTED

AMAZING FACTS

- *A quarter of the bones in your body are in your feet.*
- *Brain waves can be used to power an electric train.*
- *The Boston Marathon didn't allow female runners until 1972.*
- *Pigs get sunburnt.*
- *A one-day weather forecast requires about 10 billion math calculations.*
- *"Bluetooth" technology was named after a 10th-century king, King Harald Bluetooth. He united Denmark and Norway, just like the technology united computers and cell phones.*
- *There are 18 different animal shapes in the animal cracker zoo.*
- *Hart Island is the final burial place to over a million of New York City's unclaimed bodies.*
- *There's a town called "Big Ugly" in West Virginia.*
- *You share your birthday with at least 9 million other people in the world.*
- *No piece of paper can be folded more than 7 times.*
- *In Slovakia, they have Christmas Carp that live in the bathtub for a few days before they are eaten.*
- *There are 119 grooves on a quarter.*
- *The state of Ohio gives out different colored license plates for those with a DUI conviction.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
April 10 – Ram Navami April 15 – Good Friday	March 30 – April 05 April 16 – April 22

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
April 14 – Bengali New Year's Day April 29 – May Day	April 01 – April 04 April 17 – April 20

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
April 05 – Qinming Festival	**No holidays in April**	April 23 – National Sovereignty and Children's Day

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ALANG - Port Position as of April 08, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Horizon*	*8,116*	*Chemical Tanker*	*Beached April 05*
2	Kigoriak	4,855	Ice Breaker	Arrived March 20
3	Onness	3,215	Oil Tanker	Arrived April 08
4	Sea World	3,548	Oil Tanker	Arrived April 04
5	Vega (Under Tow)	25,719	Drilling	Arrived April 08
Total Tonnage		**45,453**		

CHATTOGRAM - Port Position as of April 08, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Al Salam*	*9,409*	*Tanker*	*Beached April 02*
2	*Anastasia I*	*16,897*	*Tanker*	*Beached April 04*
3	Arctic C	2,214	Reefer	Arrived April 04
4	Basundhara - 8	7,782	Bulk Carrier	Arrived March 20
5	*Casti*	*10,043*	*Tanker*	*Beached April 04*
6	*Fox*	*995*	*LPG*	*Beached April 04*
7	Gala	16,885	Tanker	Arrived February 28
8	Ocean Legend	971	Tanker	Arrived April 07
9	*Race*	*22,037*	*Bulk Carrier*	*Beached April 02*
10	*T Audora*	*1,212*	*Tanker*	*Beached April 02*
11	Zoffa	2,900	Tanker	Arrived April 07
Total Tonnage		**91,344**		

GADANI - Port Position as of April 08, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Oceanic*	*4,409*	*Tanker*	*Beached April 05*
2	Queen I	16,282	Tanker	Arrived March 31
3	Titan	9,127	Ferry	Arrived April 06
Total Tonnage		**29,818**		

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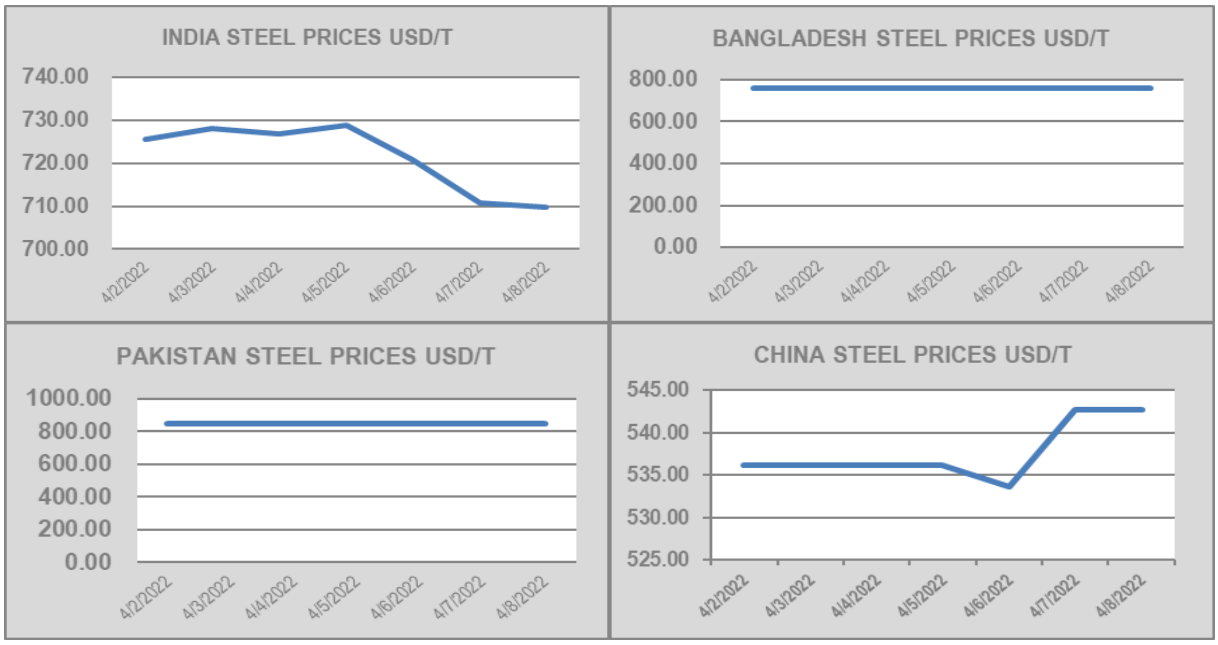
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
4/2/2022	725.59	55,000.00	845.71	148,000.00	757.93	64,500.00	536.14
4/3/2022	728.09	55,000.00	845.71	148,000.00	757.93	64,500.00	536.14
4/4/2022	726.77	54,900.00	845.71	148,000.00	757.93	64,500.00	536.14
4/5/2022	728.89	54,900.00	845.71	148,000.00	757.93	64,500.00	536.14
4/6/2022	720.70	54,600.00	845.71	148,000.00	757.93	64,500.00	533.71
4/7/2022	710.90	54,000.00	845.71	148,000.00	757.93	64,500.00	542.74
4/8/2022	709.73	53,800.00	845.71	148,000.00	757.93	64,500.00	542.74



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